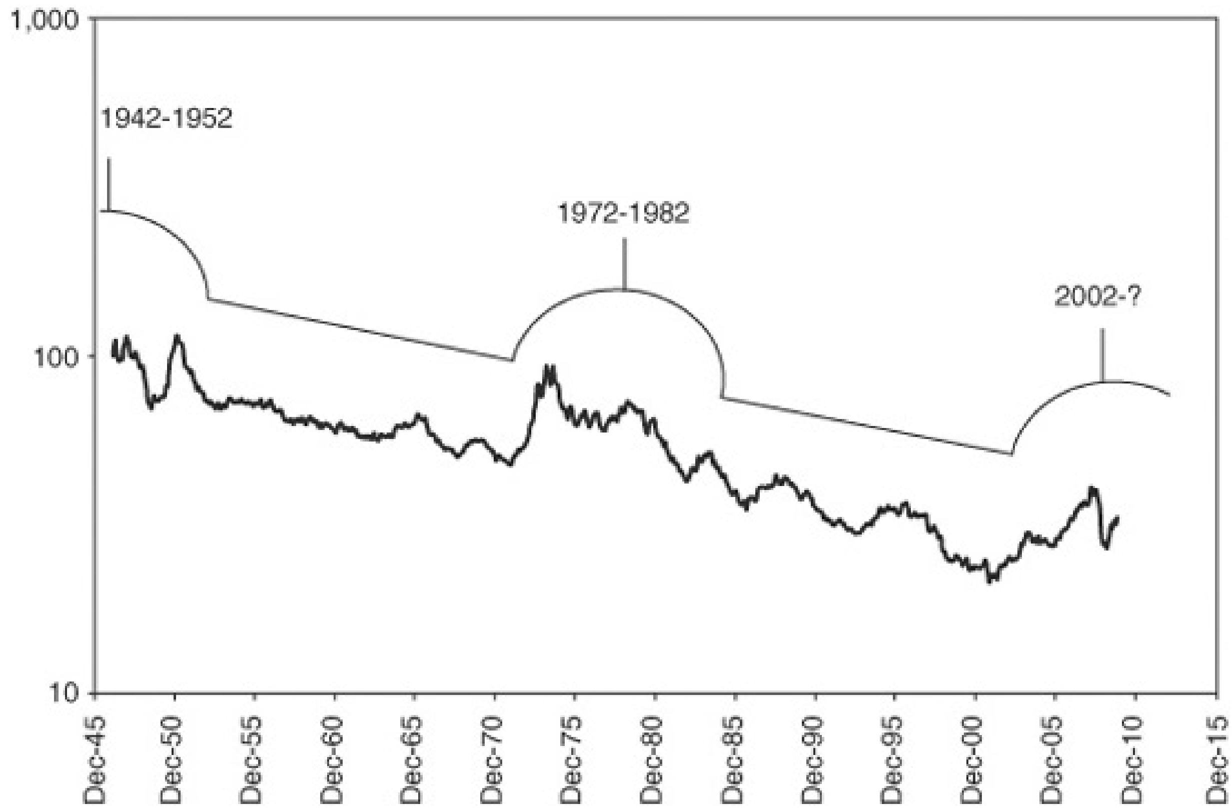

The inflation-adjusted price of all commodities has fallen considerably over the past 63 years. The annual inflation-adjusted decline was about 1 percent per year. This is a result of many factors: productivity gains from technologies and innovations, increased foreign competition, substitutes for commodities paid for by governments, and government-imposed price controls and tariffs.

Some people believe that the world is destined for permanently higher commodities prices in the future. However, Figure 10-2 suggests that the recent boom may be short lived. The price pattern in Figure 10-2 shows that a commodities boom tends to happen every generation or so, with the last three boom periods starting almost exactly 30 years apart. Prices then fall to a lower level adjusted for inflation at the end of each boom.

Forward Contracts

Spot trading of physical commodities is not practical for most investors. A direct investment in grains is not possible unless you own a silo where you can store 10,000 bushels of corn. Buying oil on the spot market does not make sense for investors unless they own a tank to store 1,000 gallons of